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August 29, 2013

Via Email and FedEx Express

Karen V. Gregory
Secretary, Federal Maritime Commission
800 North Capitol Street NW.
Washington, DC 20573-0001

Subject: Docket No. 13-05, Comments on Ocean Transportation Intermediary Regulation Revisions

Dear Ms. Gregory;

Attached, please find comments on Docket Number 13-05, Ocean Transportation Intermediary Regulation Revisions, from FedEx Trade Networks Transport & Brokerage, Inc. (FedEx Trade Networks).

FedEx Trade Networks is a large ocean freight forwarder and non-vessel operating common carrier ("NVOCC") licensed by the FMC under FMC #738NF. FedEx Trade Networks has 27 US offices conducting OTI business and 73 foreign offices. Additionally, FedEx Trade Networks utilizes a network of regional service providers in countries where we do not have physical presence. FedEx Trade Networks provides transportation services worldwide, and we submit these comments based on our long experience in the ocean transportation industry.

Any comments or questions can be addressed to me using the contact information above.

Sincerely,

A handwritten signature in black ink, appearing to read "Lemman G. Bown, Jr.", with a stylized flourish at the end.

Leman G. Bown, Jr.
Assistant Secretary
FedEx Trade Networks Transport & Brokerage, Inc

Before the Federal Maritime Commission

Comments in Response to the May 31, 2013 *Advanced Notice of Proposed Rulemaking* Regarding “Amendments to Regulations Governing Ocean Transportation Intermediary Licensing and Financial Responsibility Requirements, and General Duties”

Docket Number 13-05

Submitted by

FedEx Trade Networks Transport & Brokerage, Inc.

FedEx Trade Networks Transport & Brokerage, Inc. (“FedEx Trade Networks”) hereby submits these comments in response to the Federal Maritime Commission’s (“FMC”) *Advanced Notice of Proposed Rulemaking* (ANPRM) regarding responsibilities of Ocean Transportation Intermediaries (“OTI”) published in this docket on May 31, 2013 (78 FR 32946). FedEx Trade Networks is a large ocean freight forwarder and non-vessel operating common carrier (“NVOCC”) licensed by the FMC under FMC #738NF. FedEx Trade Networks has 27 US offices conducting OTI business and 73 foreign offices. Additionally, FedEx Trade Networks utilizes a network of regional service providers in countries where we do not have physical presence. FedEx Trade Networks provides transportation services worldwide, and we submit these comments based on our long experience in the ocean transportation industry.

The FMC has requested comments on the ANPRM which was intended to “address changes in industry conditions, streamline internal processes, improve transparency, and remove unwarranted regulatory burdens.” 78 FR 32946. The ANPRM was also meant to be a solution to the problems uncovered in *Fact Finding Investigation No. 27: Potentially Unlawful, Unfair or Deceptive Ocean Transportation Practices Related to the Movement of Household Goods or Personal Property in U.S.-Foreign Oceanborne Trades*, dated April 15, 2011 (“FFI 27”). The FFI 27 report found that from 2005-2009, the FMC received an average of 500 consumer complaints per year related to the international and domestic transportation of personal effects. The report identified two distinct types of cargo trades involved: household good relocation and “barrel trade” shipments of small amounts of personal goods.

FedEx Trade Networks respectfully submits that applying the proposed new rules to all OTIs is a solution that is more extensive than the problems identified in FFI 27 require and it imposes regulations and burdens upon too broad a sector of the ocean transportation industry. The FMC proposes to increase its regulation of all OTIs in order to remedy the problems uncovered in FFI 27, despite the fact that FFI 27 states that these types of shipments represent only a “modest” part of ocean transport practitioners’ shipments. The proposed FMC solutions would impact all licensed and registered OTIs shipping commercial freight and personal effects, even though the

problems identified in FFI 27 generally are caused by a different and much smaller population: unlicensed and unregistered OTIs shipping personal effects.

Additionally, the measures in the ANPRM stray from the recommendations contained in FFI 27, including the following: educating the consumer; fostering industry best practices; protecting the consumer by strengthening partnerships with other government agencies and private associations; promoting dispute resolution; establishing a "Household Goods Participant Program" for licensed NVOCCs; implementing a "barrel trade" OTI NVOCC license; enforcing actions against violators; creating rules on household goods advertising; and requiring agent/principal relationship disclosure.

FedEx Trade Networks suggests that the FMC create a separate license category for "barrel trade" shippers and personal effects shippers with special requirements and FMC oversight in order to properly address the issue of complaints in the barrel trade and personal effects trade without unnecessarily burdening OTIs that adhere to regulations and fair business practices.

Further, Executive Order 13563 (Jan. 11, 2011; 76 FR 3821) mandated that the benefits of regulations must justify the costs, the regulations must be justified according to the scientific method and the regulations should promote economic growth, among other imperatives. Imposing additional burdens on OTIs by adding more regulations and costs based on the findings contained in FFI 27 will serve only to complicate and burden the OTI industry.

Below are comments on specific proposed regulations.

515.2 Definitions

In the ANPRM, the definition of NVOCC services would be expanded to include: "[i]ssuing bills of lading or other shipping documents" in place of "[i]ssuing bills of lading or equivalent documents." This change is meant to "cover preparations of the documents pursuant to which cargo is transported whether or not they are 'equivalent' to 'ocean bills of lading'. . . ." If the proposed regulations are adopted, "[c]oordinating the movement of shipments between origin or destination and vessel" would now be under FMC jurisdiction, in addition to the existing requirement to arrange and pay for inland transportation on through transportation movements.

Under these proposed regulations, the FMC now would have jurisdiction over certain services provided by an OTI that previously were beyond the scope of FMC regulation, including preparation of certificates of origin, Customs and Border Protection (CBP) bonded movements or certain domestic surface transportation moves. Such services already are regulated by the Federal Motor Carrier Safety Administration ("FMCSA"), and CBP. The benefit is unclear, but these new areas of FMC regulation would certainly subject an OTI to additional administrative burdens and liability.

515.14 Issuance, renewal, and use of license

Under the proposed ANPRM, licenses must be renewed every 2 years (registrations also will be renewed every 2 years). The renewal form and as yet unknown fee must be submitted at least 60 days prior to expiration of the current license. Again, the FMC has not demonstrated a benefit associated with requiring renewal every two years, but the frequency of renewals, as well as the associated cost, would be an unreasonable burden for OTIs. A separate final rule just published July 18, *Non-Vessel-Operating Common Carrier Negotiated Rate Arrangements; Tariff Publication Exemption*, established a different (3-year) renewal period. Further, this proposal is unnecessary because the regulations as currently written require all OTIs to keep the FMC informed of any changes in their corporate structure, officers and directors, and locations of their headquarters and branch offices.

Recently, another agency found this short-term frequency of reporting unnecessary. The Alcohol and Tax Trade Bureau issued a *Federal Register* notice on June 27, 2013, in which it published its plan to change its tobacco importer permit re-registration requirement from 3 to 5 years. The notice said:

“Based on its experience in the administration and enforcement of importer permits over the past decade, TTB believes that it can gain administrative efficiencies and reduce the burden on industry members, while still meeting the purposes of the limited-duration permit. . . .” (78 FR 38555)

The requirement to process license renewals every two years will be burdensome and costly for both OTIs and the FMC. Renewals will require tracking, preparation of a renewal form for each NVOCC, generating payment, and confirmation that the renewal was processed. If other governments (e.g. China) follow the FMC’s lead, the requirement to renew in several countries has the potential to create a very large volume of work. The FMC would be forced to devote more resources to the license renewal process, diverting it from other activities.

Failure to renew a license because of inadvertence, clerical error or other mistake could cause the FMC to revoke an OTI’s license, and it is unclear how the OTI would be informed of such a revocation. The FMC should consider modeling any new reporting requirements after CBP’s triennial report, which requires customs brokers to submit a certification of their status every three years. Notification of a customs broker’s revocation is made in the *Federal Register* and can be challenged when inaccurate. See 19 CFR 111.30(d).

515.16 Revocation or suspension of license

NVOCCs would be prohibited from: “[k]nowingly and willfully processing, booking, or accepting cargo from, or transporting cargo for the account of an NVOCC that is not licensed or registered, or has not provided proof of financial responsibility or published an effective tariff.” If a licensed NVOCC were to violate this proposed regulation as it is currently drafted, it appears the FMC could revoke or suspend the NVOCC’s license without any due process proceeding.

515.20 Changes in organization

The proposed ANPRM creates a more stringent reporting requirement for U.S.-licensed OTIs than for registered foreign-based unlicensed NVOCCs (515.19 (d)). In the final rule published July 18, *Non-Vessel-Operating Common Carrier Negotiated Rate Arrangements; Tariff Publication Exemption*, registered NVOCCs are to report changes within 30 days. FedEx Trade Networks recommends that all NVOCCs be granted at least 30 days for reporting organizational changes.

515.21 Financial responsibility requirements

FedEx Trade Networks supports the agency's proposal to simplify bond calculation by removing the requirement to increase the bond by \$10,000 for every branch office. It is time-consuming for an OTI to continually add and remove branch offices from its bond depending on the logistics product mix offered in particular branch offices. Furthermore, there is little justification to charge a higher bond amount for the same number of shipments processed in multiple offices rather than just one location.

515.23 Claims against an ocean transportation intermediary

Under the proposed ANPRM, common carriers and sureties must provide notice of each claim filed or received and any court action. This information will be published on the FMC website.

Regardless of whether the FMC intends that this information be taken as an indication of the merits of the claim, posting all claims, whether meritorious or not, will unfairly impugn an NVOCC's reputation. Larger companies are likely to have more claims than smaller companies, based on shipment volume alone. The FMC should reconsider this proposal given that publishing all claims may cause an unreasonable misperception of a lack of diligence on the part of a NVOCC, when often claims are not a reflection of the performance or diligence of the NVOCC. Publishing all claims against NVOCCs on the FMC website may also inadvertently lead to the release of confidential shipper information.

515.31 General duties

The proposed ANPRM fails to recognize the global use of non-exclusive agents by OTIs and to require identification of every possible relationship in an advertisement would likely lead to increased confusion by a consumer.

Other initiatives

We recommend that the FMC consider other initiatives to reach its strategic goals of maintaining an efficient and competitive international ocean transportation system, protecting the public from unlawful, unfair and deceptive ocean transportation practices, and resolving shipping disputes.

First, FedEx Trade Networks suggests that the FMC consider the establishment of a Federal Advisory Committee (per OMB Circular A-135) to facilitate and promote the

exchange of information between the FMC and industry. With the diverse and complicated impact of FMC regulations on OTIs, Vessel Operating Common Carriers, shippers and others, direct feedback can only serve to benefit the FMC and the regulated parties. CBP's Commercial Operations Advisory Committee ("COAC") is an excellent example of a partnership that has helped a government agency more efficiently reach its goals in a manner that is both transparent and beneficial to industry.

Second, FedEx Trade Networks recommends that the FMC consider eliminating tariff filing (and alternative) requirements. This rule benefits neither the shipping public nor NVOCCs, and it is an additional cost to all parties. Shippers rely on each OTI's specific and tailored written quotes delivered directly to them, not on a large database.

Finally, FedEx Trade Networks applauds the FMC's suggestion to analyze overseas statutory regulations and consider a review of similar U.S. laws, as stated in the Strategic Plan. We suggest that the FMC continue to review implications of the report *Repeal of the Liner Conference Exemption from European Union Competition Law* for the U.S. and possible future benefits.

FedEx Trade Networks appreciates the opportunity to present its comments to the FMC, and we hope that these comments assist the FMC in achieving a final rule that addresses the findings of the FFI 27 report.

Respectfully submitted,



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